Note 7 — Income Taxes

Impact of U.S. Tax Reform

On December 22, 2017, the U.S. government enacted comprehensive tax legislation, commonly referred to as 'U.S. Tax Reform'. U.S. Tax Reform makes broad and complex changes to the U.S. tax code, including, but not limited to: (1) requiring a one-time transition tax on certain unremitted earnings of foreign subsidiaries that may be payable over eight years; (2) bonus depreciation that will allow for full expensing of qualified property; (3) reduction of the federal corporate tax rate from 35% to 21%; (4) a new provision designed to tax global intangible low-taxed income ('GILTI'), which allows for the possibility of using foreign tax credits ('FTCs') and a deduction of up to 50% to offset the income tax liability (subject to some limitations); (5) a new limitation on deductible interest expense; (6) limitations on the deductibility of certain executive compensation; (7) limitations on the use of FTCs to reduce the U.S. income tax liability; (8) the creation of the base erosion anti-abuse tax ('BEAT'), a new minimum tax; and (9) a general elimination of U.S. federal income taxes on dividends from foreign subsidiaries.

Also on December 22, 2017, the SEC staff issued Staff Accounting Bulletin No. 118 ('SAB 118'), which provided guidance on accounting for the tax effects of the U.S. Tax Reform. SAB 118 provided a measurement period that should not extend beyond one year from the U.S. Tax Reform enactment date for companies to complete the accounting under ASC 740, *Income Taxes* ('ASC 740'). In accordance with SAB 118, a company was required to reflect the income tax effects of those aspects of U.S. Tax Reform for which the accounting under ASC 740 was complete. Adjustments to incomplete and unknown amounts were required to be recorded and disclosed during the measurement period. To the extent that a company's accounting for certain income tax effects of U.S. Tax Reform was incomplete but it was able to determine a reasonable estimate, a provisional estimate in the financial statements was required to be recorded. If a company was unable to determine a provisional estimate, it was required to continue to apply ASC 740 on the basis of the provisions of the tax laws that were in effect immediately before the enactment of U.S. Tax Reform.

While the measurement period under SAB 118 is now closed, the Company may in future periods need to further refine its U.S. federal and state calculations related to U.S. Tax Reform as the taxing authorities provide additional guidance and

clarification. However, as of December 31, 2018, the Company's accounting for U.S. Tax Reform is complete based on its interpretation of the guidance issued as of the balance sheet date.

As such, the Company has revised and finalized the provisional adjustments for the following items:

Reduction of the federal corporate tax rate – Beginning January 1, 2018, the Company's U.S. income is taxed at a 21% federal corporate tax rate. Under ASC 740, deferred tax assets or liabilities must be recalculated as of the enactment date using current tax laws and rates expected to be in effect when the deferred tax items reverse in future periods, which is 21%. Consequently, the Company recorded a provisional decrease in its net deferred tax liabilities of $208 million, with a corresponding deferred income tax benefit of $208 million during the year ended December 31, 2017. On October 12, 2018, the Company filed its 2017 U.S. federal corporate income tax return. After refining our analysis of those items directly related to U.S. Tax Reform, the Company recorded additional deferred tax benefit of approximately $8 million related to deferred tax items that are now subject to tax at 21%. The effect of the measurement period adjustment on the 2018 effective tax rate is approximately 1%.

One-time transition tax – The one-time transition tax is based on the Company's total post-1986 earnings and profits ('E&P') that it previously deferred from U.S. income taxes. At December 31, 2017, the Company recorded a provisional amount for the one-time transition tax liability for our foreign subsidiaries owned by U.S. corporate shareholders, resulting in an increase in U.S. Federal income tax expense of $70 million and state income tax expense of $2 million. This transition tax liability was recorded as a long-term liability in the 2017 financial statements. Subsequent to the December 31, 2017 reporting period, the Internal Revenue Service ('IRS') clarified the application of the 'with' and 'without' approach for calculating the transition tax liability in determining the amount payable over eight years. Based on this guidance the Company revised its provisional estimate for the U.S. federal transition tax liability in the first quarter of 2018, which was reduced by $64 million due to the utilization of interest loss carryforwards resulting from the transition tax income

inclusion. This reduction has no impact on the 2018 effective tax rate. Additionally, on the basis of revised E&P computations that were completed during the year ended December 31, 2018, we recognized an additional increase to income tax expense of $8 million, which was recorded in current income tax payable. This has an approximate 1% impact on the Company's 2018 effective tax rate. The tax expense recorded includes the final measurement period adjustment related to the Company's November 30, 2018 foreign subsidiaries. While the measurement period under SAB 118 is now closed, we may in future periods need to further refine the U.S. federal and state transition tax calculations of the November 30, 2018 foreign subsidiaries as the taxing authorities provide additional guidance and clarification.

Indefinite reinvestment assertion – Beginning in 2018, U.S. Tax Reform provides a 100% deduction for dividends received from 10-percent owned foreign corporations by U.S. corporate shareholders, subject to a one-year holding period. Although dividend income is now exempt from U.S. federal tax for U.S. corporate shareholders, companies must still account for the tax consequences of outside basis differences and other tax impacts of their investments in non-U.S. subsidiaries. At December 31, 2017, we analyzed our global working capital and cash requirements and the potential tax liabilities attributable to a repatriation and determined we might repatriate up to $219 million which was previously deemed indefinitely reinvested. For those investments from which we were able to make a reasonable estimate of the tax effects of such repatriation, we recorded a provisional estimate for foreign withholding and state income taxes of $1 million. In addition, we re-measured the existing deferred tax liability accrued on certain acquired Towers Watson subsidiaries and released the associated deferred tax liability. This resulted in an income tax benefit of $76 million as these foreign earnings were subject to the one-time transition tax. These estimates are now considered final and no further adjustments have been made in the year ended December 31, 2018 as a result of U.S. Tax Reform.

Bonus Depreciation – The Company completed its determination of all capital expenditures that qualify for immediate expensing. For the year ended December 31, 2017, the Company recorded a provisional deduction of $40 million based on its current intent to fully expense all qualifying expenditures. This resulted in an increase of approximately $14 million to the Company's U.S. federal current income taxes receivable and a corresponding increase in its net deferred tax liabilities of approximately $14 million. However, as a result of further analysis on assets placed in service after September 27, 2017, the Company concluded its tax deduction to be $8 million. The tax benefit was reflected on the Company's 2017 U.S. federal corporate income tax return filed on October 12, 2018. The effect of the measurement-period adjustment on the 2018 effective tax rate is included in the reduction of the federal corporate tax rate above.

Executive compensation – Starting with compensation paid in 2018, Section 162(m) will limit the Company from deducting compensation, including performance-based compensation, in excess of $1 million paid to anyone who,

starting in 2018, serves as the Chief Executive Officer or Chief Financial Officer, or who is among the three most highly compensated executive officers. The only exception to this rule is for compensation that is paid pursuant to a binding contract in effect on November 2, 2017 that would have otherwise been deductible under the prior Section 162(m) rules. Accordingly, any compensation paid in the future pursuant to new compensation arrangements entered into after November 2, 2017, even if performance-based, will count towards the $1 million deduction limit if paid to a covered executive. The Company recorded a provisional income tax expense of $8 million relating to our compensation plans not qualifying as a binding contract exception. During the fourth quarter the Company finalized its analysis and review of the executive compensation plans and IRS guidance released throughout the year. The Company has concluded that the reviewed plans are not subject to future limitation under the binding contract exception and grandfathering rules. This resulted in the re-establishment of the deferred tax asset through the recording of an income tax benefit of $8 million. The effect of the measurement period adjustment on the 2018 effective tax rate is approximately 1%.

GILTI – U.S. Tax Reform creates a new requirement that certain income (i.e., GILTI) earned by controlled foreign corporations ('CFCs') must be included currently in the gross income of the CFCs' U.S. shareholders. GILTI is the excess of the shareholder's 'net CFC tested income' over the net deemed tangible income return, which is currently defined as the excess of (1) 10 percent of the aggregate of the U.S. shareholder's pro rata share of the qualified business asset investment of each CFC with respect to which it is a U.S. shareholder over (2) the amount of certain interest expense taken into account in the determination of net CFC-tested income. Under U.S. GAAP, the Company is allowed to make an accounting policy choice of either (1) treating taxes due on future U.S. inclusions in taxable income related to GILTI as a current-period

expense when incurred (the 'period cost method') or (2) factoring such amounts into a company's measurement of its deferred taxes (the 'deferred method'). The Company has concluded it is treating the taxes due on U.S. inclusions in taxable income related to GILTI as a current-period expense when incurred (the 'period cost method'). The estimated tax impact of GILTI, net of available foreign tax credits, is approximately $15 million at December 31, 2018.

Valuation allowances – The Company has concluded there have been no changes to valuation allowances as a result of U.S. Tax Reform.

Provision for income taxes

An analysis of income from operations before income taxes by taxing jurisdiction is shown below:

	Years ended December 31,		
	2018	2017	2016
Ireland	$ (16)	$ (23)	$ (27)
U.S.	(101)	(198)	(311)
U.K.	182	31	123
Other jurisdictions	786	682	557
Total	$ 851	$ 492	$ 342

The components of the (provision for)/benefit from income taxes include:

	Years ended December 31,		
	2018	2017	2016
Current tax expense:			
U.S. federal taxes	$ (98)	$ (65)	$ (35)
U.S. state and local taxes	(25)	(7)	(14)
U.K. corporation tax	(16)	(14)	(28)
Other jurisdictions	(112)	(99)	(71)
Total current tax expense	(251)	(185)	(148)
Deferred tax benefit:			
U.S. federal taxes	79	268	214
U.S. state and local taxes	12	(6)	5
U.K. corporation tax	(6)	9	(10)
Other jurisdictions	30	14	35
Total deferred tax benefit	115	285	244
Total (provision for)/benefit from income taxes	$ (136)	$ 100	$ 96

Included in the 2018 U.S. state and local tax expense is an approximate $25 million deferred tax benefit related to a valuation allowance release on certain state deferred tax assets offset with the write-off of certain state net operating losses that are no longer realizable.

Effective tax rate reconciliation

The reported (provision for)/benefit from income taxes differs from the amounts that would have resulted had the reported income before income taxes been taxed at the U.S. federal statutory rate. The principal reasons for the differences between the amounts provided and those that would have resulted from the application of the U.S. federal statutory tax rate are as follows:

	Years ended December 31,		
	2018	2017	2016
INCOME FROM OPERATIONS BEFORE INCOME TAXES	$ 851	$ 492	$ 342
U.S. federal statutory income tax rate	21%	35%	35%
Income tax expense at U.S. federal tax rate	(179)	(172)	(120)
Adjustments to derive effective tax rate:			
Non-deductible expenses and dividends	(44)	(68)	(15)
Non-deductible acquisition costs	(2)	(11)	(1)
Disposal of non-deductible goodwill	1	(11)	(2)
Impact of change in rate on deferred tax balances	7	—	15
Effect of foreign exchange and other differences	1	(3)	(6)
Non-deductible Venezuelan foreign exchange loss	—	(2)	(4)
Changes in valuation allowances	80	(13)	74
Net tax effect of intra-group items	99	97	98
Tax differentials of non-U.S. jurisdictions	(2)	69	80
Tax differentials of U.S. state taxes and local taxes	(77)	6	(14)
Global Intangible Low-Taxed Income (GILTI)	(15)	—	—
Impact of U.S. Tax Reform	—	204	—
Other items, net	(5)	4	(9)
(Provision for)/benefit from income taxes	$ (136)	$ 100	$ 96

Included in the changes in valuation allowance for 2018, the Company recorded a deferred income tax benefit for approximately $71 million related to the valuation allowance release of certain state deferred tax assets.

In 2017, in connection with our initial analysis of U.S. Tax Reform, the Company recorded a provisional net tax benefit of $204 million, which consisted of a net benefit of $208 million due to the reduction of the federal corporate tax rate and re-measurement of our net U.S. deferred tax liabilities primarily related to acquisition-based intangibles, and a $76 million benefit related to the release of a deferred tax liability we had previously recorded on the accumulated earnings of certain Towers Watson subsidiaries. These net benefit items were offset by provisional expenses of $8 million recognized as a write-off of a deferred tax asset the Company had previously recorded on executive compensation as well as the U.S. federal and state income tax expense of $72 million associated with the one-time transition tax on foreign earnings of our subsidiaries.

Willis Towers Watson plc is a non-trading holding company tax resident in Ireland where it is taxed at the statutory rate of 25%. In 2018, the provision for income tax on operations has been reconciled above to the U.S. federal statutory tax rate of 21% due to significant operations in the U.S. The prior year effective tax rates have not been restated to reflect a U.S. federal statutory tax rate of 21%.

Deferred income taxes

Deferred income tax assets and liabilities reflect the effect of temporary differences between the assets and liabilities recognized for financial reporting purposes and the amounts recognized for income tax purposes. We recognize deferred tax assets if it is more likely than not that a benefit will be realized.

Deferred income tax assets and liabilities included in the consolidated balance sheets at December 31, 2018 and 2017 are comprised of the following:

	December 31,	
	2018	2017
Deferred tax assets:		
Accrued expenses not currently deductible	$ 177	$ 131
Net operating losses	91	145
Capital loss carryforwards	30	28
Accrued retirement benefits	285	339
Deferred compensation	82	69
Stock options	22	24
Financial derivative transactions	1	18
Gross deferred tax assets	688	754
Less: valuation allowance	(81)	(162)
Net deferred tax assets	$ 607	$ 592
Deferred tax liabilities:		
Cost of intangible assets, net of related amortization	$ 825	$ 929
Cost of tangible assets, net of related depreciation	37	56
Prepaid retirement benefits	101	114
Accrued revenue not currently taxable	144	62
Deferred tax liabilities	$ 1,107	$ 1,161
Net deferred tax liabilities	$ 500	$ 569

During December 2017, the Company re-measured its U.S. deferred tax assets and liabilities as a result of U.S. Tax Reform to the newly enacted federal tax rate, which is 21%. The net deferred income tax assets are included in other non-current assets and the net deferred tax liabilities are included in deferred tax liabilities in our consolidated balance sheets.

	December 31,	
	2018	2017
Balance sheet classifications:		
Other non-current assets	$ 59	$ 46
Deferred tax liabilities	559	615
Net deferred tax liability	$ 500	$ 569

At December 31, 2018, we had U.S. federal and non-U.S. net operating loss carryforwards amounting to $288 million of which $239 million can be indefinitely carried forward under local statutes. The remaining $49 million of net operating loss carryforwards will expire, if unused, in varying amounts from 2019 through 2038. In addition, we had U.S. state net operating loss carryforwards of $515 million, which will expire in varying amounts from 2019 to 2038.

Management believes, based on the evaluation of positive and negative evidence, including the future reversal of existing taxable temporary differences, it is more likely than not that the Company will realize the benefits of net deferred tax assets of $607 million, net of the valuation allowance. During 2018, the Company decreased its valuation allowance by $81 million primarily related to the completion of an internal U.S. restructuring. The U.S. restructuring provided a source of positive evidence and enabled the Company to release valuation allowance on certain state deferred tax assets now considered realizable. In addition, the Company reassessed certain state net operating losses and determined these losses and related valuation allowance would never be realized. During 2017, the Company increased its valuation allowance by $28 million primarily due to state net operating losses.

At December 31, 2018 and 2017, the Company had valuation allowances of $81 million and $162 million, respectively, to reduce its deferred tax assets to estimated realizable value. The valuation allowance at December 31, 2018 primarily relates to deferred tax assets for U.K. capital loss carryforwards of $30 million, which have an unlimited carryforward period but can only be utilized against capital gains and U.S. and non-U.S. net operating losses of $27 million and $20 million, respectively. The valuation allowance at December 31, 2017 related to deferred tax assets for U.K. capital loss carryforwards of $28 million, which have an unlimited carryforward period and U.S. and non-U.S. net operating losses of $80 million and $34 million, respectively.

An analysis of our valuation allowance is shown below.

	Years ended December 31,		
	2018	2017	2016
Balance at beginning of year	$ 162	$ 134	$ 187
Additions charged to costs and expenses	18	35	—
Additions charged against other accounts	—	—	21
Deductions	(99)	(7)	(74)
Balance at end of year	$ 81	$ 162	$ 134

In 2018, the net change in valuation allowance was an $81 million decrease, of which $80 million was a reduction to tax expense primarily related to an internal U.S. restructuring. In 2017, the amount charged to tax expense in the table above differs from the 2017 rate reconciliation of $13 million because a portion of the valuation allowance increase is related to the U.S. federal corporate tax rate reduction impact on the U.S. state valuation allowance and is included in the impact of U.S. Tax Reform. The amount charged to tax expense in the table above for 2016 differs from the effect of $74 million disclosed in the 2016 rate reconciliation primarily because the movement in this table includes the effects of acquisition accounting, which does not impact tax expense.

The Company recognizes deferred tax balances related to the undistributed earnings of subsidiaries when the Company expects that it will recover those undistributed earnings in a taxable manner, such as through receipt of dividends or sale of the investments. In 2016 we began accruing deferred taxes on the cumulative earnings of certain acquired Towers Watson subsidiaries. The historical cumulative earnings of our other subsidiaries have been reinvested indefinitely.

As a result of U.S. Tax Reform we analyzed our global working capital and cash requirements and the potential tax liabilities attributable to a repatriation and determined we might repatriate up to $219 million, the majority of which was previously deemed indefinitely reinvested. For those investments from which we were able to make a reasonable estimate of the tax effects of such repatriation, we recorded a provisional estimate for foreign withholding taxes and state income taxes of $1 million. In addition, we re-measured the existing deferred tax liability accrued on certain acquired Towers Watson subsidiaries and released the associated deferred tax liability for this item. This resulted in an income tax benefit of $76 million as these foreign earnings were subject to the one-time transition tax. These estimates are now considered final and no further adjustments have been made in the period ended December 31, 2018 as a result of U.S. Tax Reform.

At December 31, 2018, as a result of an international restructuring, we have determined that we may repatriate an additional $2.1 billion, which was previously deemed indefinitely reinvested. As a result we recorded an estimate for foreign withholding and state income tax expense of approximately $11 million.

The cumulative earnings related to amounts reinvested indefinitely as of December 31, 2018 were approximately $7.2 billion, the majority of which are non-U.S. earnings not subject to U.S. tax. As a result, it is not practicable to calculate the tax cost of repatriating these unremitted earnings. If future events, including material changes in estimates of cash, working capital, long-term investment requirements or additional guidance relating to U.S. Tax Reform necessitate that these earnings be distributed, an additional provision for income and foreign withholding taxes, net of credits, may be necessary.

Uncertain tax positions

At December 31, 2018, the amount of unrecognized tax benefits associated with uncertain tax positions, determined in accordance with ASC 740-10, excluding interest and penalties, was $49 million. A reconciliation of the beginning and ending balances of the liability for unrecognized tax benefits is as follows:

	2018	2017	2016
Balance at beginning of year	$ 59	$ 56	$ 22
Increases related to acquisitions	—	—	33
Increases related to tax positions in prior years	2	2	1
Decreases related to tax positions in prior years	(4)	(5)	(9)
Decreases related to settlements	(4)	—	(1)
Decreases related to lapse in statute of limitations	(5)	(2)	(1)
Increases related to current year tax positions	3	9	11
Cumulative translation adjustment and other adjustments	(2)	(1)	—
Balance at end of year	$ 49	$ 59	$ 56

The liability for unrecognized tax benefits for the years ended December 31, 2018, 2017 and 2016 can be reduced by $2 million, $3 million and $4 million, respectively, of offsetting deferred tax benefits associated with timing differences, foreign tax credits and the federal tax benefit of state income taxes. If these offsetting deferred tax benefits were recognized, there would have been a favorable impact on our effective tax rate. There are no material balances that would result in adjustments to other tax accounts.

Interest and penalties related to unrecognized tax benefits are included as a component of income tax expense. At December 31, 2018, we had cumulative accrued interest of $3 million. At December 31, 2017, the cumulative accrued interest was $5 million. Penalties accrued in 2018 were immaterial and $2 million in 2017.

Tax expense for the years ended December 31, 2018 and 2017 included immaterial interest benefits.

The Company believes that the outcomes which are reasonably possible within the next 12 months may result in a reduction in the liability for unrecognized tax benefits in the range of $1 million to $3 million, excluding interest and penalties.

The Company and its subsidiaries file income tax returns in various tax jurisdictions in which it operates.

Willis North America Inc. is not currently under examination by the IRS. We have ongoing state income tax examinations in certain states for tax years ranging from calendar years ended December 31, 2013 through December 31, 2016. The statute of limitations in certain states extends back to the fiscal year ended June 30, 2014.

All U.K. tax returns have been filed timely and are in the normal process of being reviewed by HM Revenue & Customs. The Company is not currently subject to any material examinations in other jurisdictions. A summary of the tax years that remain open to tax examination in our major tax jurisdictions are as follows:

	Open Tax Years (fiscal year ending in)
U.S. — federal	2015 and forward
U.S. — various states	2013 and forward
U.K.	2010 and forward
Ireland	2014 and forward
France	2010 and forward
Germany	2010 and forward
Canada - federal	2011 and forward